

French Accounting and Tax Rules Guide

Comprehensive Guide for Building Accounting Software

1. Introduction

This document provides a comprehensive overview of French accounting and tax regulations essential for developing accounting software similar to platforms like Dougs, Indy, or Tiime. Understanding these rules is critical for ensuring compliance and building features that accurately calculate taxes, generate proper invoices, and manage financial records according to French law.

French accounting standards are governed by the Plan Comptable General (PCG), which establishes the framework for financial reporting, bookkeeping, and tax calculations. The system is designed to ensure transparency, consistency, and legal compliance for all businesses operating in France, from auto-entrepreneurs to large corporations.

2. TVA (Taxe sur la Valeur Ajoutee - VAT)

2.1 VAT Rates in France

Value Added Tax (TVA) is a consumption tax applied to goods and services in France. The standard rate and reduced rates apply depending on the nature of the transaction. Understanding these rates is essential for correct invoice generation and tax reporting.

Rate	Application	Examples
20% (Standard)	Most goods and services	Electronics, clothing, professional services
10% (Intermediate)	Restoration, some services	Restaurant meals, hotel accommodation, transport
5.5% (Reduced)	Essential goods and services	Food products, books, cinema tickets
2.1% (Super-reduced)	Specific essential items	Medicines, press publications, live performances

2.2 VAT Thresholds (Franchise en Base) 2025

Small businesses may be exempt from charging VAT if their annual turnover falls below certain thresholds. This regime is called 'Franchise en Base de TVA'. However, recent legislative changes have modified these thresholds significantly.

Business Type	Standard Threshold	Majorated Threshold
---------------	--------------------	---------------------

Services (BIC)	37,500 EUR	42,500 EUR
Sale of Goods (BIC)	85,000 EUR	94,000 EUR
Liberal Professions (BNC)	37,500 EUR	42,500 EUR

Important Note: The 2025 Finance Bill proposed lowering the threshold to 25,000 EUR for all activities, but this measure was rejected. The thresholds above remain applicable. Software must monitor these thresholds automatically and alert users when they approach the limits.

2.3 VAT Declaration Frequencies

VAT declarations must be filed according to specific schedules based on the company's VAT liability. The frequency determines how often tax calculations and payments must be submitted to the French tax authorities.

Annual VAT	Threshold	Due Date
Monthly (CA3)	VAT > 15,000 EUR/year	By 19th of following month
Quarterly (CA3)	VAT 4,000-15,000 EUR/year	By 19th of following quarter
Annual (CA12)	VAT < 4,000 EUR/year	2nd working day after May 1st

3. Impot sur les Societes (IS - Corporate Tax)

3.1 Corporate Tax Rates 2025

The Impot sur les Societes (IS) is the corporate income tax levied on company profits. France applies different rates based on company size and profit levels. Understanding these rates is essential for profit calculations and tax provisions in accounting software.

Rate	Application	Conditions
15%	First 42,500 EUR of profit	Turnover < 10M EUR, capital fully paid
25%	Remaining profit	Standard rate for all companies

Example: A company with 80,000 EUR profit would pay: (42,500 EUR x 15%) + (37,500 EUR x 25%) = 6,375 EUR + 9,375 EUR = 15,750 EUR corporate tax. Software should automatically apply the reduced rate to the first bracket and the standard rate to remaining profits.

4. Cotisations Sociales (Social Security Contributions)

4.1 Employee Social Charges 2025

Social security contributions in France are among the highest in Europe. They fund healthcare, retirement, unemployment benefits, and other social programs. Both employers and employees

contribute, with different rates applying to each party.

Contribution	Employee Rate	Employer Rate
Health Insurance (Maladie)	0%	7%
Old Age Pension (Vieillesse)	0.40%	1.90%
CSG/CRDS	9.20%	0%
Unemployment (Chomage)	0%	4.05%
Retirement Complémentaire	Variable	Variable
Total Approximate	22-25%	40-45%

The total cost of an employee is approximately 1.45 to 1.60 times the gross salary. For example, an employee with a 3,000 EUR gross salary actually costs the employer around 4,350-4,800 EUR. Accounting software must calculate these contributions accurately for payroll processing and budgeting purposes.

4.2 Auto-Entrepreneur Social Charges

Auto-entrepreneurs (micro-entrepreneurs) pay simplified social contributions based on their turnover. These rates vary depending on the type of activity and whether the business sells goods or provides services. The rates have been updated for 2025.

Activity Type	Rate (2025)
Sale of Goods (Vente)	12.3%
Services (Prestation de services)	23.1%
Liberal Professions (Profession libérale)	23.1%

5. Invoice Mandatory Requirements

5.1 Mandatory Invoice Elements

French law requires specific elements on every invoice. Non-compliance can result in fines and the invoice being rejected for tax purposes. Accounting software must ensure all mandatory elements are present on every generated invoice.

Element	Description
Invoice Number	Unique, sequential, no gaps
Invoice Date	Date the invoice is issued
Sale/Service Date	Date when goods/services were delivered
Seller Identity	Name, address, SIREN/SIRET number
Buyer Identity	Name, address (SIREN for B2B)
VAT Number	Required if VAT-registered

Description	Detailed description of goods/services
Quantity	Number of units or hours
Unit Price	Price per unit excluding VAT
VAT Rate and Amount	Applicable rate and calculated amount
Total Amount	Total including all taxes
Payment Terms	Due date, payment method, penalties

E-Invoicing Mandate: Starting 2025-2026, electronic invoicing becomes mandatory for all B2B transactions in France. This requires software to generate invoices in specific formats (Factur-X/UBL) and transmit them through certified platforms (Chorus Pro for public sector, PPF for B2B).

6. Accounting Obligations by Business Type

6.1 Micro-Entrepreneur Requirements

Micro-entrepreneurs benefit from simplified accounting requirements, but must still maintain certain records. These obligations are minimal compared to other business structures, making this regime attractive for small businesses and freelancers.

Obligation	Description
Livre des recettes	Chronological record of all income
Invoices	Issue for each sale/service
Register of purchases	For businesses selling goods
Bank account	Dedicated account (not mandatory but recommended)
Document retention	Keep records for 10 years

6.2 Company (SARL, SAS, etc.) Requirements

Companies with full accounting obligations must maintain double-entry bookkeeping according to the Plan Comptable General. This requires more sophisticated accounting software with features for journal entries, balance sheets, and income statements.

Obligation	Frequency	Description
Journal entries	Daily	Record all transactions chronologically
General ledger	Monthly	Summarized account balances
Balance sheet	Annual	Assets, liabilities, equity snapshot
Income statement	Annual	Revenues and expenses summary
Liasse fiscale	Annual	Complete tax return package
Inventory	Annual	Physical count of stock/assets

7. Plan Comptable General (PCG) - Chart of Accounts

7.1 Account Classes

The French Plan Comptable General organizes accounts into classes. Each class represents a category of financial information. Understanding this structure is essential for proper double-entry bookkeeping and financial reporting in French accounting software.

Class	Category	Account Types
1	Capital	Equity, reserves, retained earnings
2	Fixed Assets	Property, equipment, intangibles
3	Inventory	Stock, raw materials, work in progress
4	Third Parties	Customers, suppliers, tax authorities
5	Financial	Bank accounts, cash, investments
6	Expenses	Operating costs, purchases, wages
7	Revenue	Sales, services, other income
8	Special	Extraordinary items, provisions
9	Analytical	Cost accounting (optional)

8. Key Tax Deadlines

Meeting tax deadlines is critical for compliance and avoiding penalties. Accounting software should include automated reminders and deadline tracking features to help businesses stay compliant. The following table summarizes the main annual deadlines.

Declaration/Payment	Frequency	Deadline
Corporate Tax (IS)	Quarterly	25th of month following quarter end
VAT (CA3)	Monthly/Quarterly	19th of following month/quarter
VAT (CA12)	Annual	2nd working day after May 1st
Liasse Fiscale	Annual	3 months after fiscal year end
CVAE (Taxe economique)	Annual	May 3rd (with CFE)
CFE (Local tax)	Annual	December 15th

9. Software Implementation Requirements

9.1 Core Features Required

Building accounting software for the French market requires implementing specific features to ensure compliance with local regulations. The following table outlines essential features and their compliance

purposes.

Feature	Purpose	Compliance
Invoice Generation	Create compliant invoices	CGI Art. L441-9
VAT Calculation	Automatic tax computation	CGI Art. 286
Journal Entries	Double-entry bookkeeping	PCG Art. 111-1
Balance Sheet	Annual financial position	PCG Art. 421-1
Income Statement	Annual profit/loss	PCG Art. 421-1
Tax Declarations	Generate official forms	CGI various articles
Document Storage	10-year retention	CGI Art. L102B
E-Invoicing	Electronic transmission	Law 2019-486

9.2 Certification Requirements

Accounting software in France may require certification to ensure compliance with tax regulations. The NF 525 certification is mandatory for certain software used by businesses subject to VAT. This certification verifies that the software meets requirements for data integrity, security, and compliance with French accounting standards.

The certification process involves testing by accredited laboratories to verify that the software correctly handles invoice sequencing, prevents data manipulation, and maintains proper audit trails. Software developers should consider this certification requirement when designing their products for the French market.

10. Official Sources and References

The information in this guide is derived from official French government sources. For the most current regulations and detailed guidance, consult these authoritative resources:

- Autorite des Normes Comptables (ANC) - www.anc.gouv.fr - Plan Comptable General
- Direction Generale des Finances Publiques - www.impots.gouv.fr - Tax regulations
- Urssaf - www.urssaf.fr - Social security contributions
- Service-Public.fr - www.service-public.fr - Government administrative information
- Legifrance - www.legifrance.gouv.fr - Official legal texts
- BOFIP - bofip.impots.gouv.fr - Official tax doctrine

Disclaimer: This document is for informational purposes only and does not constitute legal or tax advice. Regulations change frequently, and businesses should consult qualified professionals for specific guidance. Software developers should verify all calculations and compliance requirements with current official sources.